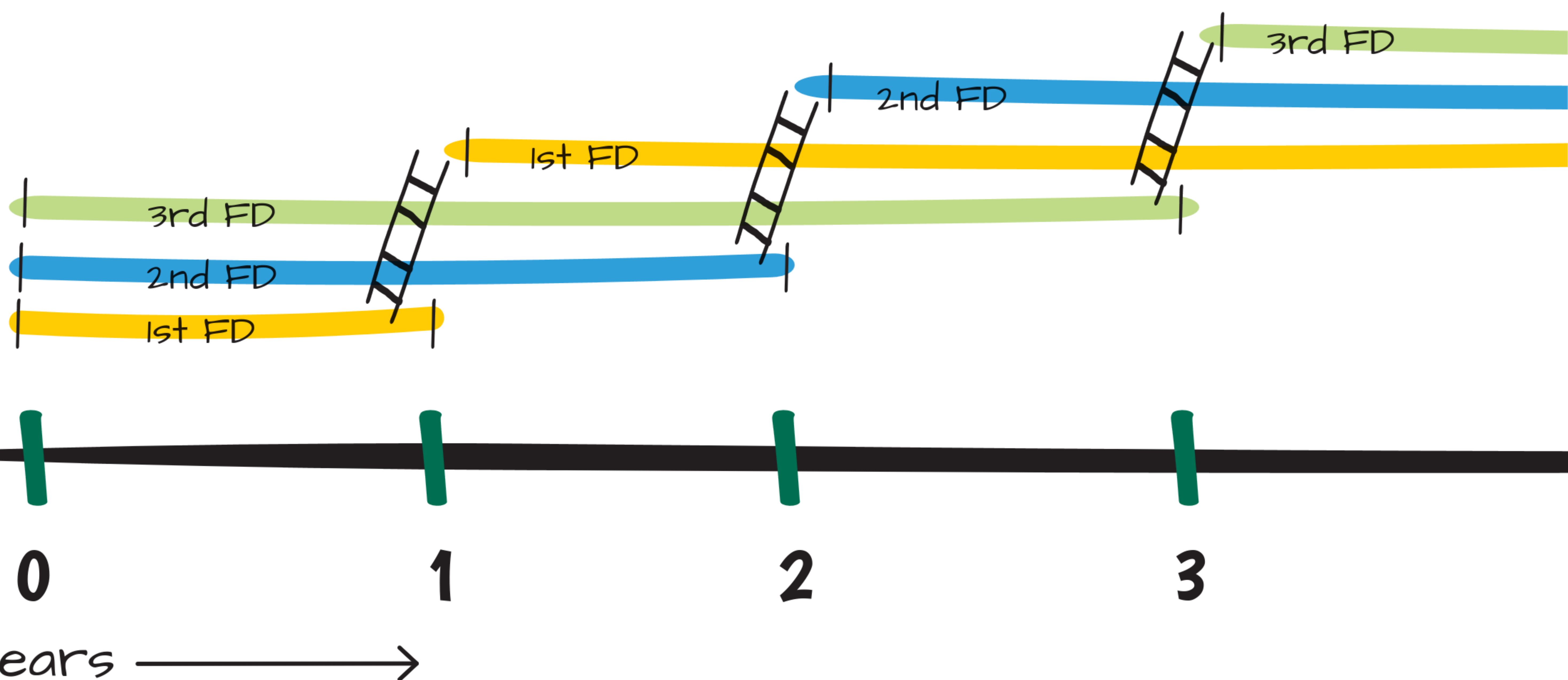
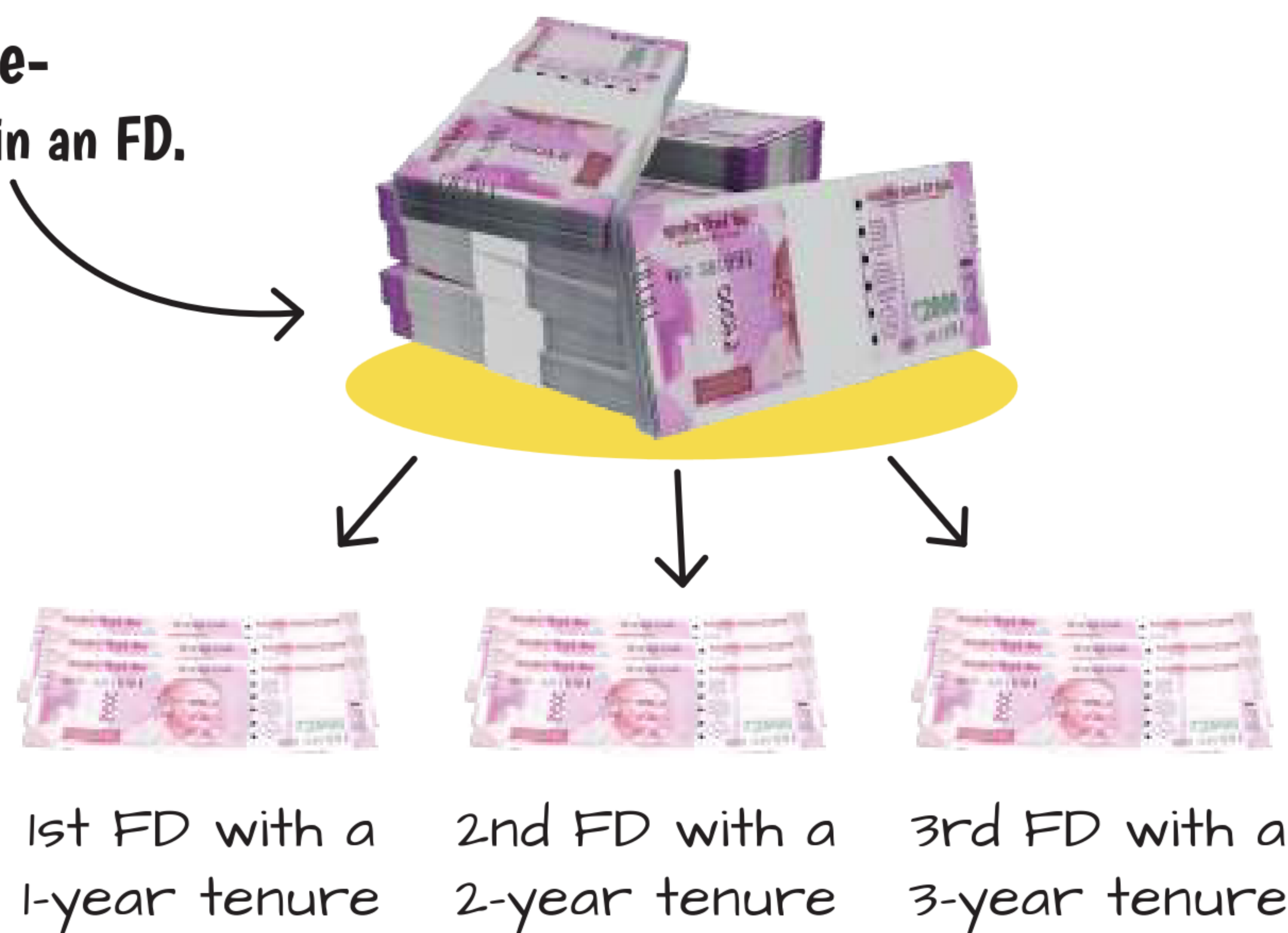


vi. FD Laddering

FD Laddering is a strategic approach to managing your FD investments. In this, instead of investing a single lumpsum amount in a single FD, you divide your FDs into multiple smaller FDs with different maturity dates. This provides you with liquidity and a chance to reinvest at higher interest rates. **This strategy works well when the interest rates are rising.**

Let's understand with an example-
Suppose you have ₹ 3 lakhs to invest in an FD.

Instead of making a single lump sum FD, divide it into three FDs of ₹ 1 lakh each, say-



When the 1st year FD matures after a year, then instead of withdrawing the funds, you choose to renew the maturing FD for a new tenure of 3 years, establishing the next rung or step.

When the 2nd year ends, your 2-year FD gets matured, and you reinvest it for another 3-year term, creating another rung.

When the 3rd year ends, your 3-year FD gets matured, and you reinvest it for another 3-year term, contributing to the growth of the ladder.